

Z pitch deck

PITCH — Z — PROPOSED VERDICT: PROPOSED — PENDING ADJUDICATION — Buy a reduced starter (~1/4 of a full position, ~0.75% of the book) near \$35.92 ahead of the Aug 24 FTC trial, with pre-planned adds at \$33.23 / \$31.65 / ~\$29.50 and a hard keep-or-kill review at the Oct 29 earnings report.

What we believe

Zillow at \$35.92 is a sound business trading 62% below its 52-week high of \$93.88, marked down by two fears — that AI assistants will replace real-estate search portals, and that the housing market stays frozen. The second fear is real and management just confirmed it. The first fear is, on the evidence, overstated: Zillow's own user numbers dipped only 2%, the one third-party measurement in evidence (Comscore, cited with numbers in the [Q1 press release](#)) shows unique visitors **up 12% year over year to 127 million**, and revenue grew 18% in both Q1 and Q2. A company being disintermediated does not grow revenue 18% on a growing third-party-measured audience.

The company earns that growth from segments outside the frozen housing transaction itself (rentals, mortgages, ads), runs roughly breakeven on a GAAP basis (Q2 net loss of \$4M including \$10M of trial legal costs), holds \$682M in cash, and is retiring stock — at the slower Q2 pace of \$200M/quarter, still about 10% of the \$8.08B market cap per year.

The risk that keeps this a quarter-sized position: an FTC antitrust trial over the Zillow–Redfin rentals agreement starts **August 24** (bench trial, about two weeks, both sides' summary-judgment motions denied, no settlement as of the court's review). Rentals is the fastest-growing segment — roughly 42% of Q2's year-over-year revenue growth — so the trial threatens the growth engine, not the balance sheet. The ~\$100M already paid to Redfin is spent money either way; the realistic bad outcome is slower future Rentals growth, not a solvency event.

What the market believes

The market has already read the Q2 report and reached a settled verdict of roughly “no change.” The stock fell ~8% after hours on Aug 5 — not on AI fear, but because management cut its industry outlook to a low-to-mid single-digit **decline** in purchase mortgage originations for the rest of 2026, guided full-year revenue to \$2.92–2.96B versus a \$2.98B street consensus, and announced 500 layoffs ([Seeking Alpha](#)). That selloff then fully recovered within six sessions: today's \$35.92 sits about 0.5% below the pre-report close of ~\$36.10.

So the market's current view is: growth is decelerating (Q3 guided to ~11% from 18%), the housing macro is getting worse per management's own words, and the FTC trial is a coin-flip nobody can price — analyst targets run from \$37 (BofA) to \$62 (JPM). The market is **not** currently paying anything for the trial risk resolving well, and is **not** currently discounting the stock for it either.

Why we might have edge

1. **The AI-disintermediation story — the original reason for the 62% drawdown — is contradicted by third-party data.** Comscore visitors +12%; revenue +18% two quarters running. The bear case that created the low prices has quietly stopped being true, and the recovery from the post-earnings selloff suggests holders are no longer selling on it.
2. **The trial risk is bounded and asymmetric at this size.** Losing the FTC case slows one segment's growth; it doesn't impair the balance sheet, the buyback, or the core residential business. A win or settlement removes a two-year overhang on the fastest-growing segment. At ¼ size with adds reserved for a trial-headline selloff, we get paid for volatility we've pre-planned into.
3. **The selloff-and-recovery pattern is now demonstrated, not hypothetical.** The stock actually printed \$31.65–\$33.23 six sessions ago and recovered. Our add levels are prices the stock has recently traded at under stress, not hopeful round numbers.
4. **The buyback is a real floor-builder:** ~10% of shares per year at the current pace, funded from operations, against a share count that management is visibly shrinking (13.5M shares retired in Q1, 5.6M in Q2).

Why it might be priced in

Honesty requires the other side, and our own red-team review made it well:

1. **There is no discount left from the earnings report.** The stock round-tripped. Anyone buying today pays the pre-report price for a company that has since guided its own industry down. The “unnoticed refutation” our original thesis claimed does not exist — the market noticed, sold, and re-bought.
2. **Growth is flat-to-decelerating, not accelerating.** Q1 +18%, Q2 +18%, Q3 guided ~11%. Our original thesis said “accelerating”; that was wrong.
3. **The growth mix is concentrated in the two riskiest places.** Rentals (~42% of incremental revenue) is the segment on trial and its growth already slowed from 42% to 31% quarter over quarter — before any court remedy. Mortgages (~30% of incremental revenue) is now guided against a declining origination industry. Core residential grew only 7%.
4. **On a stricter valuation the stock is fair, not cheap:** ~9.9x EV/EBITDA becomes ~16.6x if you expense stock compensation — full price for ~11% growth. (This number was never independently recomputed; see below.)
5. **The trial outcome is genuinely unpriceable.** Neither bench could estimate odds. A starter bought today is partly a bet on an unknowable binary.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Market never adjudicated the strong Q2 report” (original thesis)	Post-earnings news + price reconstruction from two independent reports	Market sold it ~8% on Aug 5 on management’s own guide-down, then fully recovered	Refuted — thesis framing was wrong
“\$35.92 is the post-selloff adjudicated level” (our red team’s central kill)	Arithmetic: $-7.95\% \rightarrow \$33.23$ and $-12.3\% \rightarrow \$31.65$ both imply a $\sim \$36.10$ pre-report close vs. \$35.92 today	The selloff round-tripped in six sessions; red anchored its no-buy on a discount that no longer exists	Red-team error, caught by blue
“Revenue accelerated to +18%” (original thesis)	Q1 vs Q2 press releases	Q1 was also +18%; Q3 guided ~11%. Flat-to-decelerating	Thesis error, caught by red
Buyback $\approx 10\%$ /yr of market cap	Q1 + Q2 press releases	Q2 pace annualized = $\$800\text{M} \approx 9.9\%$ of $\$8.08\text{B}$ cap; red’s “overstated 2x” only applied to a 1H-annualized figure the thesis never used	Confirmed at reduced pace — red overreached, blue corrected
“Shrinking audience” (red team)	Q1 PR third-party Comscore data	Comscore unique visitors +12% YoY to 127M ; red had called this unverifiable when it was in the Q1 release	Red-team miss, caught by blue
Growth concentrated in Rentals + Mortgages ($\sim 72\%$ of incremental)	Arithmetic re-run on Q2 press release figures	Rentals +\$49M, Mortgages +\$36M of +\$118M total; both benches agree	Confirmed
FTC trial Aug 24, ~2 weeks, no settlement, all claims survived	Law360, GeekWire, HousingWire, Axinn (multi-source)	Confirmed; summary judgment denied to both sides	Confirmed
Insider Form 144 cluster (9 filings, Aug 11–13, days before trial)	EDGAR primary documents (e.g. CEO filing)	Routine sell-to-cover of RSU taxes, $\sim \$198\text{k}$ — not an informed-selling signal	Confirmed clean (single-bench check)
$\sim 16.6\text{x}$ EV/(EBITDA – stock comp) = “fair, not cheap”	Never independently recomputed; stock comp is falling ($\$75\text{M}$ vs $\$99\text{M}$ prior year), which the static figure ignores	Plausible only	Not confirmed
Machine evidence pack revenue history	Internal inspection	Pack’s XBRL revenue table ends in 2017 — stale; both benches worked from press releases instead	Our pipeline’s error, flagged
Live exchange price bars	IBKR access denied both court sessions	Price work rests on the pack snapshot + two independent secondary reports agreeing to $\$0.01$	Not tape-confirmed

PROPOSED ENTRY BANDS

All levels come from the benches’ own arithmetic (the actual Aug 5–6 selloff prices and the 52-week low), not invented supports. **Pending adjudication — nothing executes until approved.**

- **Starter now:** BUY ~0.75% of the book ($\approx 1/4$ of a full position; blue bench explicitly reduced this from the standard $1/3$ starter) at \$35.92, **only at or below ~\$36.10** (the pre-report close — above that we'd be paying more than the pre-guide-cut market did).
- **Add 1:** at **\$33.23 or below** (the after-hours low actually printed on Aug 5) — add ~0.75%.
- **Add 2:** at **\$31.65 or below** (the next-morning low actually printed) — add ~0.75%.
- **Deep flush:** **~\$29.50 or below** (52-week low is \$29.23) — complete the position. Our red team, which opposed the starter, explicitly supports buying here on a trial-headline selloff.
- **Add window:** the adds are expected to be triggered, if at all, by headlines during the trial (Aug 24 – ~Sep 4). No forced deadline — the headline window runs weeks past Aug 24.
- **Hard review / kill (Oct 29 earnings, date unconfirmed):** exit if Rentals revenue growth falls below ~20% year over year, or if core residential growth drops to industry parity (the thesis's own pre-registered tripwire). These are keep-or-kill conditions, not trim levels.
- **Catalyst dates:** FTC bench trial **2026-08-24** (confirmed, ~2 weeks); Q3 earnings **2026-10-29** (derived from a data vendor, **not company-confirmed**).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 29.5 (deck-provisional: near the 52-week low of 29.23; red bench supports full entry here on a trial-headline flush)
- filing watch: 8-K until 2027-02-10 (deck-provisional: FTC v. Zillow/Redfin trial outcome, settlement, or consent decree (bench trial starts 2026-08-24))
- dated pack Z|2026-08-24: Z: FTC bench trial begins, approx. two weeks (date confirmed=True)
- dated pack Z|2026-10-29: Z: Q3 2026 earnings (vendor-derived date, not company-confirmed) (date confirmed=False)

What remains unverified

- **The Oct 29 earnings date** (vendor-derived; no company announcement yet).
- **The CFO's decomposition of the ~11% Q3 guide** (reclassification/seasonality effects) exists only in the call transcript, not in any audited or furnished document.
- **Comscore category share** — the claim that Zillow outgrew the category is management's citation; only the raw +12% visitor figure appears in a company release, and we have no independent Comscore access.
- **The 16.6x EV/(EBITDA – stock comp) figure** — never independently recomputed; treat as indicative.
- **Exchange-tape confirmation of the round-trip** — brokerage data access was denied in both court sessions; the finding rests on two independent secondary reports that agree to the penny, but a daily-bar pull should confirm it before adds are armed.

- **Trial outcome odds** — genuinely not estimable by either bench; the sizing (1/4 starter, adds only on a flush) is the control for this, not any probability estimate.
- **Remedy-case valuation** — nobody built the sum-of-parts showing what Z is worth if Rentals growth goes to zero; red named this as the thing that would change its mind, and it remains undone.

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